FROM THE

EDITOR-IN-CHIEF

President Donald Trump's tariff tsunami has shocked even seasoned Cassandras. Although he had said tariff is "the most beautiful word in the dictionary", the extent of its onslaught was unexpected. Stock markets everywhere got spooked. In fact, bond markets hit such volatility that it forced Trump into hitting pause for 90 days on his world-altering plan, with only a bilateral bloodbath with China playing out for now. On April 2, his tariff rates blazed out as if from a sawed-off shotgun that didn't distinguish between friend or foe. India's economy usually has layers of insulation, but the US is our largest trading partner, with just merchandise trade totalling $120 billion in 2023-24. We have a $35.3 billion surplus in our favour, which is what Trump wants to reduce, like with all other such countries. At stake is a merchandise export basket worth $77.5 billion, against $42.2 billion worth of incoming goods. Now, we have 90 days in which to renegotiate its terms.

Threatened with economic pain as a fait accompli, each country or bloc is choosing its own path. China, the primary foe of the US, is seeking an eye for an eye. The European Union, after toying with a 25 per cent return gift, may go back to its 'zero for zero' offer. Last heard, 75 countries were petitioning Washington DC for partial clemency. The tariff blitz, everyone hoped, was just extravagant initial posturing to maximise negotiating leverage.



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India has opted for this calmer, wiser course. It was smart enough to swing into anticipatory damage control, especially with Prime Minister Narendra Modi's February visit to the US that set up the scaffolding for a Bilateral Trade Agreement. We did get a lighter threat than many nations, but a 26 per cent ad-valorem across the board would be more than a passing migraine. Worst-case reckoning projects a potential cumulative impact of about $5.7 billion, slightly above 6 per cent, if the wholesale tariff rates announced on 'Liberation Day' come to pass. Also, the baseline tariff of 10 per cent is on for now, as is the 25 per cent on steel, aluminium and auto/auto parts. As for indirect impact, no one could calculate it because what we are seeing is a total dismantling of the WTO-based world trade order. We may be able to soften the blow with deft deal-making on every sector of merchandise, while keeping a keen eye on services which until now has remained untouched. Of late, with goods exports staying flat, that's where all the excitement had been. In April-February 2024-25, India's total services exports zoomed to $355 billion. And as much as 56 per cent of our tech services caters to the US.

Given the gale force of events, our special cover package this week enters the realm of storm analysis. The best bet against severe climatic disturbances is modelling and prediction. We do this at two levels. Five eminent minds contribute guest essays on the macro aspects of geopolitics and world trade. We also zero in on 13 sectors that have greater exposure to US markets. Engineering goods, at $17.6 billion, will be hurt by the 25 per cent tariff announced on steel on March 12 and which remains. Exporters of engineering goods are staring at a three-month order book of some $7 billion that will have no takers now. Auto components ($6.8 billion), which had 25 per cent tariffs imposed on March 26, will still bleed. Others like gems and jewellery ($11.6 billion) and textiles ($4.9 billion) have only a 90-day reprieve. With the 125 per cent tariff on China, India has an opportunity but also has to be extra vigilant on Chinese dumping.

Shivshankar Menon, former National Security Advisor, suggests we should "utilise the phase transformation in geopolitics to further our national interest, doing things we find hard in more stable and placid times". He adds wryly: "Trump could well make China great again," and advocates a pragmatic readjustment in India's priorities towards the non-US geopolitical spectrum. A strong strain in the essays is about turning adversity into advantage. Montek Singh Ahluwalia, a leading face of India's liberalisation era, sees a throwback to the 1991 moment. His key point: "There is a case for lowering tariffs because they are too high for our own good." That would give our small- and medium-scale industries competitive teeth, he says, freeing them from costly input purchases from large players soaking in lazy profits from high tariff barriers.

Amitabh Kant, India's G20 Sherpa and former NITI Aayog CEO, feels skilful policy can create "a massive opportunity" here. With floating global capital in search of a good landing spot, India has the perfect reason to present itself as a reliable destination for free enterprise. He says India must reprogram itself for this by eliminating its regulatory cholesterol. Auto pioneer R.C. Bhargava, an old hand at using change as a force for growth, sees positives in how Trump's "radical interpretation of economic laws" will force industry leaders to shed old habits. "We cannot hide behind custom duty walls," he writes. Bhaskar Chakravorti, an authority on global business at Tufts University, too, says India must look at systemic changes rather than banking on short-term tariff arbitrage against rivals like "Vietnam (46%), Thailand (36%), or Bangladesh (37%)".

World trade is staring at a comma, and thankfully not a coma. But the big picture is clearly this: India must seize the impetus given by Trump to do business as unusual. Use it to break the chains holding it back from becoming a global trading trailblazer like China.

In short, meet protectionism with not less but more globalisation.

(Aroon Purie)